

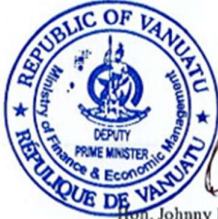
# **HALF-YEAR ECONOMIC AND FISCAL UPDATE OF 2025**

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MINISTRY OF FINANCE AND ECONOMIC MANAGEMENT

### **Fiscal Responsibility**

This Half-Year Economic and Fiscal Update has been prepared pursuant to Section 15, Part 1 of the Public Finance and Economic Management Act. The document has been prepared in compliance with the principles of responsible fiscal management as specified in the Act.



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## OVERVIEW

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The April 2025 World Economic Outlook (WEO) by the International Monetary Fund (IMF) forecasts that global growth will drop to 2.8 percent in 2025 and 3.0 percent in 2026. This is a downgrade from the 3.3 percent growth projected for both 2025 and 2026 in the January 2025 WEO. Global headline inflation is also expected to decline at a slightly slower pace than forecasted in January 2025. The IMF highlights intensifying downside risks in the global outlook, driven by the swift escalation of trade tensions and extremely high levels of policy uncertainty amongst the U.S. and its trading partners. Fiscal and monetary policy buffers have also been eroded by lingering inflation and the recent cost-of-living crisis, reducing governments' ability to navigate this uncertainty. Alongside the promotion of a stable trade environment, the IMF recommends that countries focus on restoring fiscal space through credible medium-term fiscal consolidation plans as well as structural reforms in labour, product, and financial markets. The priority for central banks remains fine-tuning monetary policy stances to achieve stable, low inflation. The WEO further emphasizes the complexity and fluidity of these forecasts given the uncertain policy environment, as well as heterogeneity in countries' individual growth prospects given domestic variation in economic performance and exposure to global and regional dynamics.

Similar to the global economy, the IMF's April 2025 WEO and Asian Development Bank (ADB) reports highlight downside risks for growth prospects in the Pacific region. The IMF expects Pacific Island Countries' (PICs) average growth to be 3.1 percent in 2025, a downgrade from the 4.0 percent growth forecasted in the July 2024 WEO. This negative outlook is driven by higher tariffs and moderating global demand, which may undermine post-Covid growth recovery in PICs. Tourism-dependent economies, such as Fiji, are expected to be particularly impacted by slowing global growth prospects. Furthermore, while regional inflation is expected to ease to 4.1 percent in 2025 and 3.6 percent in 2026, the rate of disinflation will likely slow due to tariff-related import costs and global commodity price volatility. PICs also continue to face the ongoing challenge of climate change and natural disasters, with climate adaptation and disaster recovery utilising scarce fiscal resources. On the positive side, industrial developments, such as Papua New Guinea's Porgera gold mine, and improved growth prospects in Australia and New Zealand, could be beneficial for growth outcomes. To overcome downside risks, the IMF and ADB recommend economic diversification and regional cooperation for PICs, which would reduce exposure to global policy uncertainty. Fiscal sustainability and structural reforms would also help PICs mitigate reduced global demand and climate-related costs.

In the second quarter of 2025, the Macroeconomic Committee (MEC) forecasted 3.7 percent growth for Vanuatu's economy, an upward revision from the 3.6 percent forecast agreed in Q4 2024. Growth is also expected to remain strong at 3.9 percent in 2026. This subtle improvement in growth outlook is due to positive developments in Vanuatu's agriculture, industry, and services sectors. In the agriculture sector, the lack of cyclones in the 2024-2025 period resulted in strong growth in subsistence crop production, which offset weaker performance in export crops. The industry sector was forecast to have 8.1 percent growth in 2025, the strongest growth of all three sectors, driven by post-earthquake demolition and recovery efforts, government capital projects, and donor-funded infrastructure. However, this growth is expected to be partially offset by earthquake-related equipment damage in the manufacturing sector. The largest sector in Vanuatu's economy, the services sector, was also expected to experience moderate growth into 2025, supported by robust visitor arrivals data, post-earthquake government stimulus measures, and international air connectivity by new airline carriers following Air Vanuatu's liquidation in 2024. However, the services sector still faces challenges related to post-earthquake tourism and domestic air connectivity, which may moderate performance in the coming years.

The Reserve Bank of Vanuatu (RBV) maintained its monetary policy stance during the first half of 2025, keeping the policy rate at 2.75 percent and holding other instruments steady following tightening measures in October 2023, January and September 2024, respectively. These actions were aimed at maintaining price stability and supporting

economic recovery. Inflation has decelerated to below the RBV's minimum inflation target as inflationary pressures have eased, supported by stable international commodity prices, deceleration in inflation of Vanuatu's main trading partners and consistent domestic food supply. Inflation is expected to reach the inflation target band of 0-4 percent at the end of the year. Official foreign reserves remain adequate above the minimum threshold of 4 months of import cover reflecting substantial inflows via the post-earthquake recovery initiatives and development projects. Official foreign reserves are expected to remain adequate above the 4 months of import cover threshold until the end 2025.

At the end of June 2025, the government's net operating balance, excluding donor funds, recorded a surplus of VT 7,476.2 million, equivalent to 5.1 percent of GDP. When including donor funds, the net operating balance was a surplus of VT 9,929.7 million, representing 6.8 percent of GDP. Scheduled repayments of external loans amounted to VT 842.9 million, with domestic bond repayments totaling VT 712.1 million. From January to June, government revenue totaled VT 27,033.3 million, representing 59.8 percent of the revised budget target of VT 45,178.6 million, and was 42.0 percent higher than the VT 19,038.1 million collected in the same period last year. Receipts, including donor financing, reached VT 30,661.8 million, accounting for 49.4 percent of the revised budget target of VT 62,023.9 million. Government expenses for the first six months amounted to VT 19,557.1 million, representing 46.0 percent of the revised budget target of VT 42,502.1 million, and were 3.0 percent lower than the VT 20,145.5 million spent in the same period last year. Total government spending, including donor financing, reached VT 20,732.2 million, representing 34.9 percent of the revised budget target of VT 59,347.4 million.

## WORLD ECONOMIC OUTLOOK

The International Monetary Fund's *World Economic Outlook* (WEO) for April 2025 projects a moderation in global economic growth to 2.8 percent in 2025, reflecting a downward revision from previous forecasts, with a projected rebound to 3.0 percent in 2026. This outlook is shaped by heightened downside risks stemming from significant policy shifts and escalating trade tensions, notably driven by tariff measures in the United States, which are expected to constrain global trade volume growth to 1.7 percent in 2025. Global inflationary pressures persist, with headline inflation projected at 4.3 percent in 2025, moderating to 3.6 percent in 2026. The global economy stands at a critical juncture, necessitating robust and coordinated policy responses to address these challenges.

**Table 1: Global Economic Outlook: Real GDP (year-over-year change; per cent)**

|                                          | World Economic Outlook |            |            |            |            |            |            |            |            |
|------------------------------------------|------------------------|------------|------------|------------|------------|------------|------------|------------|------------|
|                                          | 2022                   | 2023       | 2024       | 2025       | 2026       | 2027       | 2028       | 2029       | 2030       |
| <b>World Output</b>                      | <b>3.6</b>             | <b>3.5</b> | <b>3.3</b> | <b>2.8</b> | <b>3.0</b> | <b>3.2</b> | <b>3.2</b> | <b>3.2</b> | <b>3.1</b> |
| Advanced economies                       | 2.9                    | 1.7        | 1.8        | 1.4        | 1.5        | 1.7        | 1.7        | 1.7        | 1.7        |
| United States                            | 2.5                    | 2.9        | 2.8        | 1.8        | 1.7        | 2.0        | 2.1        | 2.1        | 2.1        |
| Euro area                                | 3.5                    | 0.4        | 0.9        | 0.8        | 1.2        | 1.3        | 1.3        | 1.2        | 1.1        |
| Japan                                    | 0.9                    | 1.5        | 0.1        | 0.6        | 0.6        | 0.6        | 0.6        | 0.5        | 0.5        |
| Emerging market and developing economies | 4.1                    | 4.7        | 4.3        | 3.7        | 3.9        | 4.2        | 4.1        | 4.1        | 4.0        |
| China                                    | 3.1                    | 5.4        | 5.0        | 4.0        | 4.0        | 4.2        | 4.1        | 3.7        | 3.4        |

Source: International Monetary Fund, *World Economic Outlook (WEO)*, April 2025

In advanced economies, real growth is anticipated to remain subdued at 1.4 percent in 2025, with a modest improvement to 1.6 percent in 2026. The United States is projected to experience growth of 1.8 percent in

2025, revised downward due to increased policy uncertainty and trade restrictions. Within the euro area, growth is expected to be 0.8 percent, with Spain experiencing a notable contraction of 2.5 percent, primarily attributable to trade-related disruptions. Inflation in advanced economies is forecasted to reach 2.5 percent in 2025, driven by elevated service sector costs and price pressures arising from trade measures. Monetary authorities face the complex task of balancing inflation control with the need to support economic activity, requiring careful calibration of monetary policy to navigate these competing pressures.

Emerging markets and developing economies are projected to grow at 3.7 percent in 2025, with India leading at 6.2 percent, while China's growth is revised downward to 4.0 percent, reflecting domestic and external challenges. Mexico is expected to face a contraction of 3.0 percent in 2025, largely due to spillovers from U.S. trade policies. To enhance medium-term resilience, these economies must prioritize structural reforms, including measures to strengthen labor market participation and streamline regulatory frameworks, complemented by targeted fiscal policies. Such reforms are critical to fostering sustainable growth and mitigating the impact of global economic uncertainties.

The global economic outlook faces significant risks, including escalating geopolitical tensions that disrupt trade and heighten uncertainty, alongside policy shifts in trade and fiscal domains. A potential U.S. recession, with a 40 percent probability in 2025, could generate substantial global spillovers. Financial market volatility and elevated policy uncertainty further threaten recovery. To counter these, multilateral trade cooperation is vital to reduce barriers, while labor market reforms and productivity-enhancing measures, such as investments in digital infrastructure, are essential to support resilient, inclusive global growth.

## REGIONAL ECONOMIC OUTLOOK

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The Pacific Island Countries (PIC)'s average growth is projected at 3.1 percent, slowing slightly to 2.7 percent in 2026, due to global trade disruptions, especially U.S. tariffs impacting tourism, remittances, and exports. Tourism-dependent economies like Fiji face downgraded forecasts (2.6 percent in 2026), as weak global demand hits visitor numbers. Papua New Guinea (PNG) stands out with 4.6 percent growth in 2025, driven by the reopening of the Porgera gold mine, then moderating to 3.5 percent in 2026.

Regional inflation is expected to ease to 4.1 percent in 2025 and 3.3 % in 2026, reflecting global trends. Tariff pass-through effects and global commodity volatility continue to affect import prices, notably in PNG, recording 5.5 percent in 2025, Nauru, 7.3 percent in 2025.

Projected economic growth in Australia is expected to grow to 1.6 percent in 2025 and further to 2.1 percent in 2026. And New Zealand's growth is forecasted to increase to 1.6 percent in 2025, with further improvement to 2.7 percent in 2026.

Risks and vulnerabilities can pose hindrances to the PICS's economies. These include escalating U.S.-China trade tensions, higher tariffs, and a global policy shift that threatens trade, tourism, and public finance in PICs. Climate and natural disasters remain persistent structural threats – especially for small island states like Vanuatu, Tuvalu, and Kiribati.

**Table 2: Regional Economic Outlook: Real GDP (year-over-year change; per cent)**

| Country                          | 2022       | 2023       | 2024       | 2025       | 2026       | 2027       | 2028       | 2029       | 2030       |
|----------------------------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|
| <b>Pacific (excl Aus&amp;NZ)</b> | <b>2.1</b> | <b>3.0</b> | <b>3.6</b> | <b>3.1</b> | <b>2.7</b> | <b>2.3</b> | <b>2.2</b> | <b>2.0</b> | <b>2.0</b> |
| Fiji                             | 19.8       | 7.5        | 3.7        | 2.6        | 2.8        | 3.2        | 3.2        | 2.1        | 2.1        |
| Kiribati                         | 4.6        | 2.7        | 5.3        | 3.9        | 3.2        | 2.5        | 2.2        | 1.8        | 1.6        |
| Marshall Islands                 | -1.1       | -3.9       | 2.8        | 2.5        | 4.1        | 2.4        | 1.9        | 0.7        | 0.7        |
| Micronesia                       | -2.9       | 0.5        | 0.7        | 1.1        | 1.5        | 0.8        | 0.7        | 1.8        | 1.8        |
| Nauru                            | 3.0        | 0.6        | 1.8        | 2.0        | 1.6        | 1.7        | 1.8        | 2.2        | 2.2        |
| Palau                            | -0.8       | 1.4        | 7.1        | 5.7        | 3.5        | 2.7        | 2.3        | 2.2        | 2.2        |
| Papua New Guinea                 | 5.7        | 3.8        | 3.7        | 4.6        | 3.5        | 3.1        | 3.1        | 3.1        | 3.1        |
| Samoa                            | -5.4       | 9.2        | 9.4        | 5.4        | 2.6        | 2.0        | 2.0        | 2.0        | 2.0        |
| Solomon Islands                  | 2.4        | 2.7        | 2.5        | 2.7        | 2.8        | 2.9        | 3.0        | 3.0        | 3.0        |
| Tonga                            | -2.3       | 2.1        | 2.1        | 2.7        | 2.3        | 1.8        | 1.6        | 1.2        | 1.2        |
| Tuvalu                           | -2.4       | 7.9        | 3.3        | 2.8        | 2.3        | 2.2        | 2.0        | 1.9        | 1.7        |
| Vanuatu                          | 5.2        | 2.1        | 0.9        | 1.4        | 2.1        | 2.5        | 2.2        | 2.2        | 2.2        |
| Australia                        | 4.1        | 2.1        | 1.0        | 1.6        | 2.1        | 2.3        | 2.3        | 2.3        | 2.3        |
| New Zealand                      | 2.9        | 1.8        | -0.5       | 1.4        | 2.7        | 2.7        | 2.3        | 3.2        | 3.2        |

Source: IMF & Staff calculations

## VANUATU ECONOMIC OUTLOOK

### Overview

In the second quarter of 2025, the Macroeconomic Committee (MEC) adjusted its growth forecast for 2025-2030, revising the 2025 growth rate up from 3.6 per cent to 3.7 per cent. Growth is then expected to pick up to 3.9 in 2026 (unchanged on the previous forecast), before averaging 4.0 per cent over 2027-30.

The economic outlook has been greatly influenced by developments since the 17 December earthquake. While there was an initial drop in consumer confidence in the early weeks of 2025, post-earthquake recovery efforts by the government and donor partners, as well as rebounding visitor arrivals, are expected to boost real economic activity.

In the agriculture sector, a strong performance by garden/food crops due to a lack of cyclones in the 2024-25 season is partially offset by weak performance in key export crops such as kava, copra, cocoa, and coffee, as well as in animal production, due to a lack of beef exports.

The industry sector's performance was revised upwards due to demolition and reconstruction efforts, as well as strong remittance flows. Output in the sector also continues to be supported by both government and donor-financed infrastructure projects.

The largest sector in the economy, the services sector, sees stronger growth in 2025, as it recovers from the liquidation of Air Vanuatu in 2024. The sector is also expected to benefit from the rollout of the government's stimulus package, which will help support consumption in the domestic economy. Further, the relocation of businesses is expected to boost the real estate sector, while professional services such as architecture and engineering will benefit from building assessment and reconstruction activities.

**Table 3: Summary of projections: Domestic Real GDP (year-over-year change; per cent)**

| Sector                                   | 2020        | 2021        | 2022       | 2023       | 2024       | 2025       | 2026       | 2027       | 2028       | 2029       |
|------------------------------------------|-------------|-------------|------------|------------|------------|------------|------------|------------|------------|------------|
| Agriculture, Fishing and Forestry Sector | -2.7        | 2.7         | 3.9        | -0.8       | 2.2        | 2.7        | 3.1        | 3.4        | 3.5        | 3.2        |
| Industry Sector                          | 4.0         | -1.3        | -19.7      | 3.2        | 1.8        | 8.1        | 9.2        | 6.3        | 3.9        | 4.1        |
| Services Sector                          | -6.7        | 0.4         | 7.8        | 6.4        | 3.0        | 3.9        | 3.7        | 3.9        | 3.7        | 3.9        |
| <b>Real GDP Growth (2006 Prices)</b>     | <b>-5.0</b> | <b>-1.6</b> | <b>5.2</b> | <b>4.0</b> | <b>2.2</b> | <b>3.7</b> | <b>3.9</b> | <b>4.0</b> | <b>3.9</b> | <b>4.1</b> |

*Source: National Statistics Office and Macroeconomic Committee estimates, June 2025*

## Agriculture, Fisheries, and Forestry Sector

The Agriculture, Fisheries, and Forestry sector is projected to grow by 2.7 per cent in 2025, revised upward from the initial forecast of 2.4 per cent. The sector remains pivotal to Vanuatu's economic landscape, contributing significantly to both subsistence and commercial activities. Despite facing multiple challenges, including the Coconut Rhinoceros Beetle threat, labour shortages, and natural disaster risks, the sector shows resilience with mixed but generally positive developments across sub-sectors.

Commercial crop production continues to face varied challenges and opportunities across different commodities. Kava production in the commercial sector is projected to grow by 2 per cent in 2025, down from the initial forecast of 3.5 per cent, reflecting quality deterioration and impacts from United States tariffs. Cocoa production demonstrates strong performance with 15 per cent growth projected for 2025, though export tonnage has fallen on both year-on-year and quarter-on-quarter bases. The sector benefits from ongoing rehabilitation efforts and the installation of grafted plants. Coconut production in the commercial sector is expected to achieve modest 1 per cent growth, supported by solid demand from Asian markets despite previous declines. Copra production continues to face challenges with negative 1.5 per cent growth projected, though prices have improved with deflator adjustments from 0.1 per cent to 0.5 per cent. Export volumes remain weak despite price improvements.

Subsistence crop production shows exceptional performance, with garden crops achieving 3 per cent growth, significantly benefiting from the absence of cyclones since 2023. This strong performance reflects the sector's resilience when not affected by natural disasters.

Animal production demonstrates steady performance with beef production showing 2 per cent growth despite challenges from abattoir equipment failures that have limited the sector to domestic supply only, preventing exports. The government continues to support the sector through pasture improvement programmes, cattle restocking, and small ruminant production initiatives.

The Forestry sub-sector benefits from solid domestic demand driven by returning seasonal workers, with 3.2 per cent growth projected for 2025. This performance reflects the sector's ability to adapt to changing market conditions and labour availability. The Fishing sub-sector maintains 3.1 per cent growth despite challenges from high fuel costs that make fresh fish unaffordable for low-income earners. Local fish prices have increased from 1,200 Vatu to 1,500 Vatu per kilogram, with deflator adjustments from 1 per cent to 1.5 per cent reflecting these local market price changes.

## Industry Sector

The Industry sector continues as the fastest-growing sector of the economy, with 8.1 per cent growth projected for 2025, revised from the initial forecast of 8.9 per cent. This strong performance is driven by post-earthquake reconstruction activities and the implementation of over 10 billion Vatu worth of government capital projects rolled over from 2024.

Construction activities show strong momentum with 10.8 per cent growth projected for 2025, revised from the initial forecast of 13.2 per cent. With uncertainty to when insurance payouts will start, it is anticipated that the earthquake reconstruction works in the CBD surrounding are delayed to 2026 and 2027. The building construction

subsector is expected to grow by 11 per cent, with project activity extending beyond the Capital Budget and positive growth seen in quarter one from Private Sector Credit to support construction projects within the private sector. Renovation and repair activities demonstrate exceptional growth at 13 per cent, driven primarily by earthquake recovery efforts and necessary repairs to damaged infrastructure. This reflects the immediate reconstruction needs following the December 2024 earthquake and the government's commitment to rebuilding damaged facilities.

Major infrastructure projects driving growth include the Pentecost Road, Vanuatu Climate Resilient Transport Project Phase 2 (South Santo Road), and Tanna Road Phase 3. The Efate Ring Road Rehabilitation Project and Ambae Road projects have recently commenced in the second quarter of 2025, providing additional momentum for construction sector growth. Quarrying activities also show strong growth at 12 per cent, supported by ongoing construction projects and infrastructure development needs.

The Manufacturing sub-sector projects 2.2 per cent growth in 2025, revised from the initial forecast of 2.4 per cent, reflecting mixed performance across different manufacturing activities. Food manufacturing growth reduced from 3 per cent to 2.5 per cent reflect Vanuatu Brewing Limited (VBL) slowdown in its production capacity due to equipment damages from the earthquake. Handicraft production has been revised to 8.5 per cent growth due to the cessation of cruise ship visits to Port Vila and the closure of Malampa Handicraft Centre.

The Electricity and Water Supply sub-sector demonstrates robust 10 per cent growth, revised upward from the initial forecast of 9 per cent. This growth is driven by increased demand from demolition and reconstruction activities, progressive tourism recovery, and growing household demand for solar energy, particularly in rural areas with the trend extending to urban areas.

## Services Sector

The Services sector maintains its 3.9 per cent growth projection for 2025, demonstrating resilience despite the impacts of the December 2024 earthquake. The sector benefits from better-than-expected visitor arrivals, government stimulus measures, loan grace period to end in June and the gradual recovery of business activities following the reopening of Port Vila's Central Business District. The reconnection of the online domestic connectivity is a matter of urgency which should amplify tourism activities in the remote islands when the reconnection is fixed.

Visitor arrivals have significantly exceeded expectations, with January 2025 showing 7.5 per cent year-on-year growth and February recording exceptional 58.5 per cent growth. This strong performance reflects the successful entry of new airline carriers including Qantas and Jetstar, government tourism marketing initiatives funded through the stimulus package, and the influx of recovery workers following the earthquake.

Accommodation and Food Services growth has been revised to 11.2 per cent from the initial forecast of 14.7 per cent, primarily due to challenges with domestic air connectivity that continue to affect tourism to Santo, Tanna, and other outer islands. Wholesale and Retail Trade activities show strong performance supported by government stimulus measures and improved economic conditions. The combined Wholesale and Retail Trade sector projects 3 per cent growth, supported by strong Value Added Tax collections and the rollout of stimulus measures that have boosted consumer demand.

The Transport sector maintains 1.3 per cent growth projection, though specific sub-sectors show different performance patterns. Air Transport is projected to grow by 1.5 per cent in 2026, with deflator adjustments from 2.2 per cent to 3.5 per cent reflecting the acquisition of new twin otter aircraft and increases in domestic airfare prices.

Real Estate activities continue to show strong performance, reflecting new subdivisions at North Efate, partly related to the Lelepa cruise project, and relocation impacts following the earthquake. Professional, Scientific and Technical Services project strong 7.3 per cent growth, revised upward from the initial forecast of 6.5 per cent. This growth is

driven by increased demand for engineers, surveyors, and specialists required for reconstruction activities and the implementation of rolled-over capital projects. The sector benefits from both earthquake recovery needs and planned infrastructure development.

Public Administration shows 2 per cent growth, supported by the government's improved fiscal position and increased donor support following the earthquake.

## **MONETARY AND EXTERNAL UPDATE**

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The RBV maintained its monetary policy stance during the first half of 2025. The policy interest rate was held steady at 2.75 percent, following the 50 basis points increase in September 2024. Similarly, the Bank's other policy instruments remained unchanged since the earlier review in September 2024. The Statutory Reserve Deposit (SRD) remained at 5.50 percent, the Capital Adequacy Ratio (CAR) at 12.0 percent and the Liquid Asset Ratio (LAR) at 5.0 percent. Moreover, the issuance of RBV notes in the Open Market Operations continued at VT1.9 billion per month. The monetary policy decision reflected the Bank's objective to balance the need for price stability with ongoing support for post-earthquake economic recovery.

With regards to monetary policy objectives, inflation has remained below the minimum inflation target range of 0-4 percent for three consecutive quarters, since the September 2024 quarter. During the March 2025 quarter, annual inflation decreased by -0.6 percent (-0.7%: Dec 2024, 5.3%: Mar 2024). Deflation reflected the absence of domestic supply shocks (cyclones) throughout 2024 until the current period and the reduction in inflation of Vanuatu's major trading partners. Official foreign reserves were maintained at adequate levels, above the RBV's minimum threshold of 4.0 months of import cover. At the end of May 2025, official foreign reserves were sufficient to finance at least 7.9 months of imports.

Money supply is estimated to expand during the first half of 2025, largely driven by the accumulation of net foreign assets (NFA). The improved performance in NFA largely reflected sustained donor inflows and post-earthquake recovery funds. The Governments net credit position vis-à-vis the banking system improved relative to the same period of the previous year owing to the accumulation of government deposits held with both the RBV and commercial banks. The majority of these deposits were inflows related to post-earthquake recovery initiatives. Private sector credit growth was steady, reflecting increases in credit extended to both businesses and individual and households. Loans to individuals and household remained the main driver of the annual growth in private sector credit. Net foreign assets, the Governments net credit vis-a-vis the banking system and private sector credit are expected to drive money growth until the end of this year.

In terms of money components, the money supply growth during the first half of 2025 was attributed to the strong performance in both narrow money (M1) and quasi-money. The high level of M1 reflected the increase in currency in circulation and transferable (demand) deposits to support post-earthquake recovery measures and the overall recovery in economic activities. The upward trend in quasi money (savings and time deposits) signifies that residents are accumulating their longer-term savings. M1 is expected to drive money growth until the end of this year.

The domestic banking sector remains sound, profitable, and adequately capitalised. Although liquidity levels are high, their uneven distribution continues to present challenges. Asset quality has improved compared to the previous year, primarily due to a reduction in non-performing loans (NPLs). Nevertheless, the volume of high-risk category loans has increased, resulting in persistently elevated NPLs, which continue to adversely affect banks' earnings and capital positions. Additionally, the rising NPLs, ongoing challenges in correspondent banking relationships, and the

slower-than-expected recovery of the tourism sector represent significant downside risks to financial stability in the short to medium term.

### **Inflation**

According to the Vanuatu Bureau of Statistics (VBoS), the annual inflation declined by 0.6 percent in the March 2025 quarter. The decreased prices were attributed to the Port Vila price index (-1.3%), while the Luganville and Lenakel price indices increased by 1.5 percent and 3.9 percent, respectively. The following expenditure groupings recorded notable decreases; housing Utilities (-5.3%), communication (-4.7%), clothing and footwear (-3.6%), education (-2.7%) and household supplies (-2.5%). These declines were primarily driven by lower prices for electricity supply charges, repair and maintenance materials, private school and vocational course fees, men's outerwear, and household cleaning detergents.

In terms of outlook, inflation is expected to remain within the RBV target band (0-4%) at the end of 2025. The main assumptions are: the moderation in global commodity prices, in particular prices of fuel and food, limiting imported inflationary pressures. The decline in Inflation rates of Vanuatu's main import source countries, lowering the cost of imported finished goods and intermediate inputs. The absence of domestic supply shocks (cyclones) is anticipated to continue until the end of 2025, increasing local food supply and easing domestic food prices.

### **Balance of Payments**

The current account balance is projected to improve in 2025, as higher receipts are expected to exceed payments. The trade in goods deficit is anticipated to widen, primarily due to increased import demand and a decline in exports, resulting partially from the impact of United States tariff policies. Conversely, the trade in services deficit is forecasted to narrow, supported by higher service receipts associated with increased air visitor arrivals relative to cruise visitors. The primary income surplus is expected to strengthen, reflecting higher income receipts exceeding payments. The secondary income surplus is projected to improve significantly, mainly due to increased grant transfers, including earthquake recovery assistance and citizenship by investment related revenues, surpassing outward transfers. The financial account balance is also estimated to improve in 2025, driven by growth in foreign assets and a reduction in liabilities.

Official reserves are expected to remain adequate above the RBV's minimum threshold of 4 months of import cover until the end of 2025. The increase in official reserves will be driven mainly by inflows for post-earthquake recovery and infrastructure development.

### **Exchange Rates**

Movements of the Vatu vis-à-vis the major foreign trading currencies reflect developments in the economic and financial conditions of Vanuatu's major trading partners. The Vatu has appreciated against the US dollar since February until June 2025, following changes in the United States trade policies that led to reduced demand for the US dollar and its depreciation against major currencies, including the Vatu. Conversely, the Vatu depreciated against the AUD and NZD.

# FISCAL UPDATE<sup>1</sup>

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## Revenue

Government revenue recorded VT 4,494.1 million in June which is 168.8 percent above the forecast of VT 1,672.1 million. This is mainly due to higher receipts from the citizenship fees and the Honorary Citizenship Program fees.

Total Government receipts for the first six months of this year recorded a total amount of VT 27,033.3 million<sup>2</sup> this represents 59.8 percent of the budget target of VT 45,178.6 million and is 42.0 percent greater than the VT 19,038.1 million that was collected during the same period last year. On average, revenue collections were 20.0 percent higher than the budget forecast of VT 22,524.5 million for the first six months of this year.

VAT continues to be the main source of the Government's taxation revenue, recording VT 947.0 million in June, which is 15.1 percent lower than the forecast of VT 1,121.1 million. The amount collected so far this year is VT 7,214.1 million, this represents 52.5 percent of the annual budget target of VT 13,730.0 million<sup>3</sup> and is 0.9 percent less than the VT 7,277.3 million that was collected in June last year.

Taxes on international trade and transactions, constituting import and export duties, are the second main source of Government tax revenue, collecting VT 271.8 million in June, which is 26.0 percent below the forecast of VT 367.5 million. The total amount collected at the end of June is VT 1,991.1 million, this comprises 40.3 percent of the budget target of VT 4,937.8 million and is 0.1 percent higher than the VT 1,989.5 million that was collected in June last year.

Excise tax collection was VT 239.0 million in June, which is 11.9 percent lower than the forecast of VT 271.3 million. To date, total Excise collection is VT 1,522.1 million; comprises 40.6 percent of the budget target of VT 3,747.2 million and is 6.4 percent lower than the VT 1,626.3 million that was collected during the same period last year.

Among other revenue, constituting fees and charges, the Vanuatu Development Support Program (VDSP), Vanuatu Contribution Program (VCP) and Capital Investment Immigration Plan (CIIP) together collected VT 2,538.3 million in June, which is 239.8 percent higher<sup>4</sup> than the forecast of VT 747.1 million. To date total collections are VT 9,413.1 million; this represents 123.4 percent of the budget target of VT 7,629.5 million and is 178.1 percent higher than the VT 3,384.8 million that was collected during the same period in 2024.

*The Government continues to acknowledge its development partners for their budget support contribution totalling to VT 3,159.6 million at the end of April. The major contribution came from World Bank with a total amount of VT 2,443.0 million. Other contributing donors are gratefully acknowledged.*

Moving to development financing, as of the end of June, the Government has received VT 3,628.5 million worth of project grants from its development partners. The major sources of grant assistance came from Australian contributions (VT 1,536.4 million) and New Zealand contributions (VT 1,277.7 million). Other contributing donors are gratefully acknowledged.

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<sup>1</sup> The figures described and explained in this section can be seen in Tables 6 to 11 at the end of this report, which show the Statements of Government Operations using GFS14 classification.

<sup>2</sup> Total revenue collections at the end of June of VT 27,033.3 million includes the Budget support from World Bank of VT 2,443.0 million that was received in February this year.

<sup>3</sup> The VT 13,730.0 million budget for net VAT collections is the VAT expected to be received by the Government (VT 14,137.5 million) minus the VAT to be paid by the Government (VT 407.5 million).

<sup>4</sup> Increased collections partially attributed to the implementation of a direct invoicing system to the Agent, effective May 2025.

The total Government revenue (including Donor financing) recorded VT 30,661.8 million. This represents 49.4 percent of the revised budget target of VT 62,023.9 million and is 31.3 percent greater than VT 23,352.8 million that was received during the same period in 2024.

## Expense

Government expenses were VT 3,570.0 million in June, which is 9.0 percent higher than the forecast of VT 3,275.7 million. The major overspending items compared to the forecast in June were mainly operating grant expenses, housing allowances, payments to international organisation and Software Maintenance Fees. Government expenses recorded VT 19,557.1 million during the first half of this year, representing 46.0 percent of the 2025 revised budget target of VT 42,502.1 million<sup>5</sup> and is 3.0 percent less than the VT 20,145.5 million that was spent during the same period a year ago.

On average, government expenses were 4.2 percent lower than the budget forecast of VT 20,408.5 million for the first six months of this year. The major overspending items include Hospitals – Materials amounting to VT 100.9 million against VT 8.6 million annual budget, provincial grants totalling to VT 101.7 million also against VT 10.9 million annual budget, Scholarship fees with a total of VT 220.7 million against a budget target of VT 158.0 million and acting allowances, which reached VT 119.4 million against a budget target of VT 50.2 million.

Net acquisition of non-financial assets has recorded VT 1,933.9 million at the end of June, representing 24.6 percent of the revised budget target of VT 7,851.8 million<sup>6</sup> and is 29.6 percent lower than the VT 2,748.3 million that was spent on net acquisitions of non-financial assets during the same period in 2024. This is mainly due to a higher spending on building renovations and infrastructure, such as roads and bridges in 2024.

As of June, spending on project grants under development financing totalled VT 1,175.1 million. This represents 7.0 percent of the budgeted target of VT 16,845.4 million and is 16.1 percent lower than the amount of VT 1,400.9 million that was spent on projects during the same period last year.

Thus, total operating expense, including Government and Development financing, was VT 20,732.2 million at the end of June. This represents 34.9 percent of the revised budget target of VT 59,347.4 million and is 3.2 percent lower than the VT 21,419.6 million spent during the equivalent period in 2024.

## Financing

In June, the total net operating balance for the Government, including donor funds, was a surplus of VT 1,984.8 million. The year-to-date total net operating balance for the Government, including donor funds, recorded at the end of June, was in surplus of VT 9,929.7 million. This represents 6.8 percent of GDP.

The net operating balance for the Government, excluding donor funds, in June was a surplus of VT 924.1 million. The year-to-date total net operating balance for the Government operations, excluding donor funds, recorded at the end of June was a surplus of VT 7,476.2 million, which is equivalent to 5.1 percent of GDP.

At the end of the first six months, the Government has made a total repayment of VT 842.9 million worth of external loan repayments, with domestic bond repayments of VT 712.1 million. In contrast, the Government has issued a total of VT 1,000.0 million worth of domestic bonds.

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<sup>5</sup> The 2025 original Expense Budget of VT 42,137.6 million have increased by VT 364.5 million due to the rollover of the 2024 unspent funds.

<sup>6</sup> The 2025 original Net acquisition of non-financial assets Budget of VT 4,048.8 million have increased by VT 3,803.0 million due to the rollover of the 2024 unspent funds.

## REVENUE AND TAX POLICY

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The Government's spending needs have highlighted the need for increased revenue collection. It is important that revenue policies are favourable for cashflow purposes so the Government can continue to meet its public expenditure demand and ensure continued public service delivery.

The Government initially planned to collect VT 39,483.8 million in 2025. Although still lower than the 2024 revenue budget, this budget has been revised up to VT 41 billion. The 2025 budget forecast is driven by VAT collections, followed by the Citizenship Program, Import Duties and Excise taxes. Other non-tax revenue items driving the budget include Fishing Licenses and Registration fees, Land related fees (Land Premiums, Land Rent, Land Registration) and fees collected by the Department of Immigration (Passport fees and Residency Permits). The first six months of the 2025 financial year has seen a mixed performance of these revenue generating items. The collection of taxes and the citizenship program are on target; however, the non-tax revenues have performed below expectations in the first half of the year.

### Ongoing Revenue Policy Reforms

The Government is committed to ensuring that it reaches its revenue collection potential. The Minister responsible for Finance and Economic Management established a Revenue Governance Committee and a Revenue Technical Committee to assist the government in its effort to expand its domestic revenue. The Ministry of Finance and Economic Management, through its Tax Policy Unit, and the established committee have engaged with Government Departments concerned to ensure ownership and successful implementation of current and new revenue initiatives.

Since its introduction, VAT has been a stable source of funding for the economy, however, it is still vulnerable to challenges like tax evasion and economic shocks like the impacts of the December 2024 earthquake which can affect its effectiveness. The Government has committed resources this year to implementing a Vanuatu Sales Monitoring System (VSMS), with the purpose of ensuring compliance, maximizing Government revenue, promote fairness and improve data accuracy. In the first half of this year, the Department of Customs and Inland Revenue (DCIR) has consulted with local stakeholders including business owners, market vendors, chiefs, community leaders and local government representatives in understanding the purpose and scope of the new VAT monitoring provisions. While VAT has performed to date, the implementation of the VSMS is expected to improve compliance.

The Citizenship program projected a downward revision in the 2025 revenue budget (VT 7,729.7 million) compared to the 2024 revenue budget (11,303.8 million). Correspondent banking relationship issues remain a challenge for the program's revenue collection, however, the Citizenship Commission announced significant enhancements to the program at the end of 2024. The ongoing reforms include compliance improvement, improved management of application program with agents and strengthening investment requirements to the Capital Investment Immigration Plan (CIIP) that directly benefits Vanuatu's primary sectors. An aspect of the program's compliance improvement, which had not been practiced before this year, is the use of invoicing through the Government's financial system to ensure all contributions are correctly made by agents before citizenship is granted to clients. As a result of these improvements, collections have reached VT 9,123.2 million compared to an annual budget of VT 7,729.7 million.

### Vanuatu Commitments with OECD Global Forum and EU Code of Conduct Group

Vanuatu continues its efforts to meet international standards of good tax practices. This includes the ones set by the OECD's Global Forum on Transparency and Exchange of Information for Tax purposes (Global Forum) and the European Union's Code of Conduct Group (EU CoCG).

Vanuatu is on the EU List of Non-Cooperative Jurisdictions for Tax Purposes due to its facilitation of offshore structures and arrangements that generate profits without real economic substance. To meet the required standards, Vanuatu has introduced two bills that are pending parliamentary approval. The Bill for the Resident Entity (Economic Substance) and the Bill for the Resident Entity (Consequential Amendments) if approved by Parliament, should assist Vanuatu in its delisting process with EU Code of Conduct group.

After receiving a partially compliant rating by the Global Forum in 2019, Vanuatu underwent a supplementary review in the second quarter of this year to assess progress made in the implementation of the Exchange of Information on Request (EOIR) standards. Vanuatu will also undergo a peer review to assess the legal frameworks and effectiveness of the Automatic Exchange of Information (AEOI) standards in July 2025. Receiving a compliant rating in these reviews will also assist in delisting Vanuatu from the EU List of Non-Cooperative Jurisdiction for Tax Purposes.

## Outstanding Revenue

The concerns surrounding unresolved revenue payments within line ministries and agencies will remain until all outstanding payments are cleared. Current outstanding non-tax revenue stands at around VT 2.5 billion with outstanding VAT revenue likely to be more than VT 3 billion.

The main reasons for the Government not yet fully addressing its outstanding revenue include:

- I. A lot of the current outstanding debts have exceeded their status of limitation validity;*
- II. Accumulation of penalties and lack of stringent compliance efforts from both the Departments,*
- III. Companies have closed or liquidated and company owners may have already left the country or died with taxes owed still being recorded as outstanding.*

The National Write-off Committee is now inactive, but the Ministry intends to revive it so that it may continue working with other authorities to handle the backlog of outstanding revenue. This can ensure an in-depth assessment of the outstanding revenue balances that will better inform decisions to write-off as necessary so that outstanding balances represent a true and fair view of the government's receivables.

The implementation of all approved Government expenditure programs and activities for the budget year depends on revenue collection. The Government will continue to boost its revenue collection by strengthening the administration, compliance, and enforcement of existing tax laws as well as newly-introduced fees and charges to boost revenue collection efforts

## PUBLIC DEBT

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### Current Debt Stock

Vanuatu's public debt portfolio totals **VT 60 billion**, comprising **VT 20.6 billion in domestic debt** (34.3% of total) and **VT 39.5 billion in external obligations** (65.7%). The domestic component is characterized by high exposure to the Reserve Bank of Vanuatu (RBV), which holds **VT 9.1 billion** (44.2% of domestic debt). This concentration approaches statutory lending limits, creating monetary policy constraints and crowding out private market participation. External debt remains predominantly concessional but contributes to an IMF-assessed "**high risk of debt distress**" given debt-to-revenue ratios and climate vulnerabilities.

### Half-Year 2025 Debt Management Activities

During the first half of 2025, debt servicing operations included **principal repayments of VT 770 million** and **interest payments totaling VT 417 million**. To manage liquidity pressures, the Treasury issued **VT 1**

**billion in new domestic debt instruments.** This resulted in a **net domestic debt reduction of VT 187 million** after accounting for repayments versus new borrowing. However, these transactions occurred against a backdrop of persistent fiscal deficits, with debt service costs consuming 6.3% of H1 2025 revenues.

### Collaborative Institutional Work

Addressing structural challenges requires coordinated action:

- The RBV's near-threshold exposure necessitates rebalancing toward non-bank investors.
- Efforts are being prioritized to broaden the investor base for government securities through market-making mechanisms.
- Technical assistance from the IMF and multilateral partners supports the design of a domestic yield curve and liquidity management framework.
- Fiscal authorities are aligning expenditure controls with revenue enhancement initiatives to reduce deficit financing needs.

### Pathway to Debt Sustainability

The Medium-Term Debt Strategy (MTDS) centers on three pillars:

- **Instrument diversification:** Shifting issuance toward short-tenor bills ( $\leq 1$  year) to improve market absorption.
- **Funding source expansion:** Securing climate-resilience grants (e.g., LDC Fund) and exploring blue bond.
- **Anchoring reforms:** Integrating debt issuance with the Public Financial Management Act, advancing revenue administration digitization, and publishing annual Debt Sustainability Analyses (DSAs). These measures target a reduction in the RBV's debt share to  $<30\%$  by 2027 while containing the debt-to-GDP ratio below 50%.

**Table 6: Statement of Government Operations excluding Donor Financing using GFS14 Classification, January – June 2023**

| STATEMENT OF GOVERNMENT OPERATIONS EXCLUDING DONORS                  |                                               |                  |                 |               |                |                 |                |                |                |                |
|----------------------------------------------------------------------|-----------------------------------------------|------------------|-----------------|---------------|----------------|-----------------|----------------|----------------|----------------|----------------|
| GFS Code                                                             | GFS Description                               | Budget 2025      | Total (VT mn)   | %             | January Actual | February Actual | March Actual   | April Actual   | May Actual     | June Actual    |
| <b>TRANSACTIONS AFFECTING NET WORTH:</b>                             |                                               |                  |                 |               |                |                 |                |                |                |                |
| <b>A1</b>                                                            | <b>Revenue</b>                                | <b>45,178.6</b>  | <b>27,033.3</b> | <b>59.8%</b>  | <b>3,637.9</b> | <b>6,117.1</b>  | <b>3,674.8</b> | <b>3,974.4</b> | <b>5,135.0</b> | <b>4,494.1</b> |
| A11                                                                  | Taxes                                         | 26,564.7         | 13,511.2        | 50.9%         | 2,977.6        | 2,364.1         | 2,145.4        | 2,068.4        | 2,099.4        | 1,856.2        |
| A111                                                                 | Taxes on income, profits, and capital gains   | -                | -               | 0.0%          | -              | -               | -              | -              | -              | -              |
| A112                                                                 | Taxes on payroll & workforce                  | -                | -               | 0.0%          | -              | -               | -              | -              | -              | -              |
| A113                                                                 | Taxes on property                             | 710.3            | 405.3           | 57.1%         | 19.9           | 58.9            | 88.0           | 106.4          | 69.9           | 62.2           |
| A114                                                                 | Taxes on goods & services                     | 20,916.5         | 11,114.8        | 53.1%         | 2,571.8        | 1,866.7         | 1,805.1        | 1,622.3        | 1,726.7        | 1,522.2        |
| 7TVA                                                                 | Value-added taxes                             | 13,730.0         | 7,214.1         | 52.5%         | 1,777.7        | 1,052.1         | 1,169.6        | 1,104.1        | 1,163.7        | 947.0          |
| A1142                                                                | Excises                                       | 3,747.2          | 1,522.1         | 40.6%         | 329.7          | 256.4           | 237.0          | 265.0          | 195.0          | 239.0          |
| A115                                                                 | Taxes on international trade & transactions   | 4,937.8          | 1,991.1         | 40.3%         | 385.9          | 438.5           | 252.4          | 339.7          | 302.8          | 271.8          |
| A116                                                                 | Other taxes                                   | -                | -               | 0.0%          | -              | -               | -              | -              | -              | -              |
| A12                                                                  | Social contributions                          | -                | -               | 0.0%          | -              | -               | -              | -              | -              | -              |
| A13                                                                  | Grants                                        | 6,124.8          | 3,159.6         | 51.6%         | 55.9           | 2,703.8         | 0.0            | -              | 399.9          | -              |
| A14                                                                  | Other revenue                                 | 12,489.1         | 10,362.4        | 83.0%         | 604.4          | 1,049.1         | 1,529.4        | 1,906.0        | 2,635.6        | 2,637.9        |
| <b>A2</b>                                                            | <b>Expense</b>                                | <b>42,502.1</b>  | <b>19,557.1</b> | <b>46.0%</b>  | <b>3,594.7</b> | <b>2,876.2</b>  | <b>2,307.1</b> | <b>3,878.4</b> | <b>3,330.7</b> | <b>3,570.0</b> |
| A21                                                                  | Compensation of employees                     | 23,453.1         | 10,146.6        | 43.3%         | 2,195.7        | 1,632.8         | 1,240.3        | 1,564.8        | 1,671.4        | 1,841.6        |
| A22                                                                  | Use of goods and services                     | 8,854.7          | 3,940.0         | 44.5%         | 755.4          | 472.7           | 390.2          | 766.8          | 688.4          | 866.5          |
| A23                                                                  | Consumption of fixed capital                  | -                | -               | 0.0%          | -              | -               | -              | -              | -              | -              |
| A24                                                                  | Interest                                      | 1,515.7          | 606.8           | 40.0%         | 19.2           | -               | 185.8          | 303.1          | 65.4           | 33.3           |
| A25                                                                  | Subsidies                                     | 205.0            | 202.8           | 98.9%         | (0.3)          | 0.5             | 0.5            | 12.5           | 93.6           | 96.0           |
| A26                                                                  | Grants                                        | 6,533.7          | 3,347.8         | 51.2%         | 544.2          | 677.8           | 282.2          | 1,016.2        | 252.5          | 574.9          |
| A27                                                                  | Social benefits                               | 821.4            | 754.0           | 91.8%         | 56.6           | 57.7            | 35.5           | 107.9          | 381.5          | 114.9          |
| A28                                                                  | Other expense                                 | 1,118.5          | 559.0           | 50.0%         | 23.8           | 34.8            | 172.6          | 107.1          | 178.0          | 42.7           |
| <b>GOB</b>                                                           | <b>Gross operating balance (1-2+23+NOBz)</b>  | <b>2,676.5</b>   | <b>7,476.2</b>  |               | <b>43.2</b>    | <b>3,240.9</b>  | <b>1,367.7</b> | <b>96.0</b>    | <b>1,804.2</b> | <b>924.1</b>   |
| <b>NOB</b>                                                           | <b>Net operating balance (1-2+NOBz)</b>       | <b>2,676.5</b>   | <b>7,476.2</b>  |               | <b>43.2</b>    | <b>3,240.9</b>  | <b>1,367.7</b> | <b>96.0</b>    | <b>1,804.2</b> | <b>924.1</b>   |
|                                                                      | % of GDP                                      | 1.8%             | 5.1%            |               | 0.0%           | 2.2%            | 0.9%           | 0.1%           | 1.2%           | 0.6%           |
| <b>TRANSACTIONS IN NONFINANCIAL ASSETS:</b>                          |                                               |                  |                 |               |                |                 |                |                |                |                |
| <b>A31</b>                                                           | <b>Net Acquisition of Nonfinancial Assets</b> | <b>7,851.8</b>   | <b>1,933.9</b>  | <b>24.6%</b>  | <b>430.9</b>   | <b>109.1</b>    | <b>53.6</b>    | <b>726.0</b>   | <b>328.1</b>   | <b>286.2</b>   |
| A311                                                                 | Fixed assets                                  | 7,040.8          | 1,567.4         | 22.3%         | 371.5          | 109.1           | 53.6           | 503.3          | 268.1          | 261.7          |
| A312                                                                 | Change in inventories                         | -                | -               | 0.0%          | -              | -               | -              | -              | -              | -              |
| A313                                                                 | Valuables                                     | -                | -               | 0.0%          | -              | -               | -              | -              | -              | -              |
| A314                                                                 | Nonproduced assets                            | 811.0            | 366.5           | 0.0%          | 59.4           | -               | -              | 222.7          | 60.0           | 24.5           |
| <b>NLB</b>                                                           | <b>Net lending / borrowing (1-2+NOBz-31)</b>  | <b>(5,175.3)</b> | <b>5,542.3</b>  |               | <b>(387.7)</b> | <b>3,131.8</b>  | <b>1,314.1</b> | <b>(630.0)</b> | <b>1,476.1</b> | <b>637.9</b>   |
| <b>TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):</b> |                                               |                  |                 |               |                |                 |                |                |                |                |
|                                                                      |                                               | -3.5%            | 3.8%            |               | -0.3%          | 2.1%            | 0.9%           | -0.4%          | 1.0%           | 0.4%           |
| <b>A32</b>                                                           | <b>Net acquisition of financial assets</b>    | <b>(4,150.0)</b> | <b>4,987.3</b>  | <b>0.0%</b>   | <b>(457.7)</b> | <b>3,131.8</b>  | <b>713.0</b>   | <b>(640.5)</b> | <b>1,382.0</b> | <b>858.6</b>   |
| A321                                                                 | Domestic                                      | (4,150.0)        | 4,987.3         | 0.0%          | (457.7)        | 3,131.8         | 713.0          | (640.5)        | 1,382.0        | 858.6          |
| A322                                                                 | Foreign                                       | -                | -               | 0.0%          | -              | -               | -              | -              | -              | -              |
| <b>A33</b>                                                           | <b>Net incurrence of liabilities</b>          | <b>1,025.3</b>   | <b>(555.0)</b>  | <b>-54.1%</b> | <b>(70.0)</b>  | <b>-</b>        | <b>(601.1)</b> | <b>(10.5)</b>  | <b>(94.1)</b>  | <b>220.7</b>   |
| A331                                                                 | Domestic creditors                            | 3,426.4          | 287.9           |               | -              | -               | -              | -              | -              | 287.9          |
| A332                                                                 | External creditors                            | (2,401.1)        | (842.9)         | 35.1%         | (70.0)         | -               | (601.1)        | (10.5)         | (94.1)         | (67.2)         |

Source: Department of Finance and Treasury

**Table 7: Statement of Government Operations funded by donors through the central treasury account, in GFS14 Classification, January – June 2024**

| STATEMENT OF GOVERNMENT OPERATIONS FUNDED BY DONORS THROUGH THE CENTRAL TREASURY ACCOUNT |                                               |                  |                |              |                |                 |              |               |              |
|------------------------------------------------------------------------------------------|-----------------------------------------------|------------------|----------------|--------------|----------------|-----------------|--------------|---------------|--------------|
| GFS Code                                                                                 | GFS Description                               | Budget 2025      | Total (VT mn)  | %            | January Actual | February Actual | March Actual | April Actual  | May Actual   |
| <b>TRANSACTIONS AFFECTING NET WORTH:</b>                                                 |                                               |                  |                |              |                |                 |              |               |              |
| <b>A1</b>                                                                                | <b>Revenue</b>                                | <b>16,845.4</b>  | <b>3,628.5</b> | <b>21.5%</b> | <b>440.0</b>   | <b>286.7</b>    | <b>694.0</b> | <b>297.1</b>  | <b>623.7</b> |
| A11                                                                                      | Taxes                                         | -                | -              | 0.0%         | -              | -               | -            | -             | -            |
| A111                                                                                     | Taxes on income, profits, and capital gains   | -                | -              | 0.0%         | -              | -               | -            | -             | -            |
| A112                                                                                     | Taxes on payroll & workforce                  | -                | -              | 0.0%         | -              | -               | -            | -             | -            |
| A113                                                                                     | Taxes on property                             | -                | -              | 0.0%         | -              | -               | -            | -             | -            |
| A114                                                                                     | Taxes on goods & services                     | -                | -              | 0.0%         | -              | -               | -            | -             | -            |
| A11411                                                                                   | Value-added taxes                             | -                | -              | 0.0%         | -              | -               | -            | -             | -            |
| A1142                                                                                    | Excises                                       | -                | -              | 0.0%         | -              | -               | -            | -             | -            |
| A115                                                                                     | Taxes on international trade & transactions   | -                | -              | 0.0%         | -              | -               | -            | -             | -            |
| A116                                                                                     | Other taxes                                   | -                | -              | 0.0%         | -              | -               | -            | -             | -            |
| A12                                                                                      | Social contributions                          | -                | -              | 0.0%         | -              | -               | -            | -             | -            |
| A13                                                                                      | Grants                                        | 16,845.4         | 3,628.5        | 21.5%        | 440.0          | 286.7           | 694.0        | 297.1         | 623.7        |
| A14                                                                                      | Other revenue                                 | -                | -              | 0.0%         | -              | -               | -            | -             | -            |
| <b>A2</b>                                                                                | <b>Expense</b>                                | <b>16,845.4</b>  | <b>1,175.1</b> | <b>7.0%</b>  | <b>86.4</b>    | <b>140.7</b>    | <b>219.7</b> | <b>224.7</b>  | <b>277.2</b> |
| A21                                                                                      | Compensation of employees                     | 1,023.7          | 175.5          | 17.1%        | 32.9           | 21.3            | 22.9         | 22.1          | 38.8         |
| A22                                                                                      | Use of goods and services                     | 12,341.6         | 897.9          | 7.3%         | 53.4           | 117.1           | 170.6        | 191.4         | 231.3        |
| A23                                                                                      | Consumption of fixed capital                  | -                | -              | 0.0%         | -              | -               | -            | -             | -            |
| A24                                                                                      | Interest                                      | -                | -              | 0.0%         | -              | -               | -            | -             | -            |
| A25                                                                                      | Subsidies                                     | 32.1             | -              | 0.0%         | -              | -               | -            | -             | -            |
| A26                                                                                      | Grants                                        | 2,498.2          | 78.1           | 3.1%         | -              | -               | 24.9         | 7.0           | 7.1          |
| A27                                                                                      | Social benefits                               | 925.3            | 7.1            | 0.8%         | -              | 2.4             | 1.3          | 2.2           | -            |
| A28                                                                                      | Other expense                                 | 24.6             | 16.5           | 67.1%        | -              | -               | -            | 2.0           | 0.0          |
| <b>GOB</b>                                                                               | <b>Gross operating balance (1-2+23+NOBz)</b>  | <b>-</b>         | <b>2,453.4</b> |              | <b>353.7</b>   | <b>145.9</b>    | <b>474.3</b> | <b>72.4</b>   | <b>346.5</b> |
| <b>NOB</b>                                                                               | <b>Net operating balance (1-2+NOBz)</b>       | <b>-</b>         | <b>2,453.4</b> |              | <b>353.7</b>   | <b>145.9</b>    | <b>474.3</b> | <b>72.4</b>   | <b>346.5</b> |
|                                                                                          | % of GDP                                      | 0.0%             | 1.7%           |              | 0.2%           | 0.1%            | 0.3%         | 0.0%          | 0.2%         |
| <b>TRANSACTIONS IN NONFINANCIAL ASSETS:</b>                                              |                                               |                  |                |              |                |                 |              |               |              |
| <b>A31</b>                                                                               | <b>Net Acquisition of Nonfinancial Assets</b> | <b>4,300.0</b>   | <b>388.6</b>   | <b>9.0%</b>  | <b>13.4</b>    | <b>44.6</b>     | <b>61.0</b>  | <b>102.6</b>  | <b>65.6</b>  |
| A311                                                                                     | Fixed assets                                  | 4,300.0          | 388.6          | 9.0%         | 13.4           | 44.6            | 61.0         | 102.6         | 65.6         |
| A312                                                                                     | Change in inventories                         | -                | -              | 0.0%         | -              | -               | -            | -             | -            |
| A313                                                                                     | Valuables                                     | -                | -              | 0.0%         | -              | -               | -            | -             | -            |
| A314                                                                                     | Nonproduced assets                            | -                | -              | 0.0%         | -              | -               | -            | -             | -            |
| <b>NLB</b>                                                                               | <b>Net lending / borrowing (1-2+NOBz-31)</b>  | <b>(4,300.0)</b> | <b>2,064.8</b> |              | <b>340.3</b>   | <b>101.3</b>    | <b>413.3</b> | <b>(30.2)</b> | <b>280.9</b> |
| <b>TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):</b>                     |                                               |                  |                |              |                |                 |              |               |              |
|                                                                                          |                                               | -2.9%            | 1.4%           |              | 0.2%           | 0.1%            | 0.3%         | 0.0%          | 0.2%         |
| <b>A32</b>                                                                               | <b>Net acquisition of financial assets</b>    | <b>-</b>         | <b>2,064.8</b> | <b>0.0%</b>  | <b>340.3</b>   | <b>101.3</b>    | <b>413.3</b> | <b>(30.2)</b> | <b>280.9</b> |
| A321                                                                                     | Domestic                                      | -                | 2,064.8        | 0.0%         | 340.3          | 101.3           | 413.3        | (30.2)        | 280.9        |
| A322                                                                                     | Foreign                                       | -                | -              | 0.0%         | -              | -               | -            | -             | -            |
| <b>A33</b>                                                                               | <b>Net incurrence of liabilities</b>          | <b>4,300.0</b>   | <b>-</b>       | <b>0.0%</b>  | <b>-</b>       | <b>-</b>        | <b>-</b>     | <b>-</b>      | <b>-</b>     |
| A331                                                                                     | Domestic creditors                            | -                | -              | 0.0%         | -              | -               | -            | -             | -            |
| A332                                                                                     | External creditors                            | 4,300.0          | -              | 0.0%         | -              | -               | -            | -             | -            |

Source: Department of Finance and Treasury

**Table 8: Statement of Government Operations including donor financing (consolidated) using GFS14 Classification, January – June 2023**

| STATEMENT OF TOTAL GOVERNMENT OPERATIONS                             |                                               |                  |                 |               |                |                 |                |                |                |                |
|----------------------------------------------------------------------|-----------------------------------------------|------------------|-----------------|---------------|----------------|-----------------|----------------|----------------|----------------|----------------|
| GFS Code                                                             | GFS Description                               | Budget 2025      | Total (VT mn)   | %             | January Actual | February Actual | March Actual   | April Actual   | May Actual     | June Actual    |
| <b>TRANSACTIONS AFFECTING NET WORTH:</b>                             |                                               |                  |                 |               |                |                 |                |                |                |                |
| <b>A1</b>                                                            | <b>Revenue</b>                                | <b>62,023.9</b>  | <b>30,661.8</b> | <b>49.4%</b>  | <b>4,078.0</b> | <b>6,403.7</b>  | <b>4,368.8</b> | <b>4,271.5</b> | <b>5,758.7</b> | <b>5,781.2</b> |
| A11                                                                  | Taxes                                         | 26,564.7         | 13,511.2        | 50.9%         | 2,977.6        | 2,364.1         | 2,145.4        | 2,068.4        | 2,099.4        | 1,856.2        |
| A111                                                                 | Taxes on income, profits, and capital gains   | -                | -               | 0.0%          | -              | -               | -              | -              | -              | -              |
| A112                                                                 | Taxes on payroll & workforce                  | -                | -               | 0.0%          | -              | -               | -              | -              | -              | -              |
| A113                                                                 | Taxes on property                             | 710.3            | 405.3           | 57.1%         | 19.9           | 58.9            | 88.0           | 106.4          | 69.9           | 62.2           |
| A114                                                                 | Taxes on goods & services                     | 20,916.5         | 11,114.8        | 53.1%         | 2,571.8        | 1,866.7         | 1,805.1        | 1,622.3        | 1,726.7        | 1,522.2        |
| A11411                                                               | Value-added taxes                             | 13,322.4         | 7,214.1         | 54.1%         | 1,777.7        | 1,052.1         | 1,169.6        | 1,104.1        | 1,163.7        | 947.0          |
| A1142                                                                | Excises                                       | 3,747.2          | 1,522.1         | 40.6%         | 329.7          | 256.4           | 237.0          | 265.0          | 195.0          | 239.0          |
| A115                                                                 | Taxes on international trade & transactions   | 4,937.8          | 1,991.1         | 40.3%         | 385.9          | 438.5           | 252.4          | 339.7          | 302.8          | 271.8          |
| A116                                                                 | Other taxes                                   | -                | -               | 0.0%          | -              | -               | -              | -              | -              | -              |
| A12                                                                  | Social contributions                          | -                | -               | 0.0%          | -              | -               | -              | -              | -              | -              |
| A13                                                                  | Grants                                        | 22,970.1         | 6,788.2         | 29.6%         | 496.0          | 2,990.5         | 694.0          | 297.1          | 1,023.6        | 1,287.1        |
| A14                                                                  | Other revenue                                 | 12,489.1         | 10,362.4        | 83.0%         | 604.4          | 1,049.1         | 1,529.4        | 1,906.0        | 2,635.6        | 2,637.9        |
| <b>A2</b>                                                            | <b>Expense</b>                                | <b>59,347.4</b>  | <b>20,732.2</b> | <b>34.9%</b>  | <b>3,681.1</b> | <b>3,016.9</b>  | <b>2,526.8</b> | <b>4,103.0</b> | <b>3,607.9</b> | <b>3,796.5</b> |
| A21                                                                  | Compensation of employees                     | 24,476.7         | 10,322.1        | 42.2%         | 2,228.7        | 1,654.1         | 1,263.2        | 1,586.9        | 1,710.2        | 1,879.0        |
| A22                                                                  | Use of goods and services                     | 21,196.4         | 4,837.9         | 22.8%         | 808.8          | 589.7           | 560.8          | 958.2          | 919.6          | 1,000.7        |
| A23                                                                  | Consumption of fixed capital                  | -                | -               | 0.0%          | -              | -               | -              | -              | -              | -              |
| A24                                                                  | Interest                                      | 1,515.7          | 606.8           | 40.0%         | 19.2           | -               | 185.8          | 303.1          | 65.4           | 33.3           |
| A25                                                                  | Subsidies                                     | 237.1            | 202.8           | 85.6%         | (0.3)          | 0.5             | 0.5            | 12.5           | 93.6           | 96.0           |
| A26                                                                  | Grants                                        | 9,031.9          | 3,426.0         | 37.9%         | 544.2          | 677.8           | 307.2          | 1,023.2        | 259.6          | 614.0          |
| A27                                                                  | Social benefits                               | 1,746.6          | 761.1           | 43.6%         | 56.6           | 60.1            | 36.8           | 110.0          | 381.5          | 116.1          |
| A28                                                                  | Other expense                                 | 1,143.1          | 575.5           | 50.3%         | 23.8           | 34.8            | 172.6          | 109.1          | 178.0          | 57.2           |
| <b>GOB</b>                                                           | <b>Gross operating balance (1-2+23+NOBz)</b>  | <b>2,676.5</b>   | <b>9,929.7</b>  |               | <b>396.9</b>   | <b>3,386.8</b>  | <b>1,842.0</b> | <b>168.4</b>   | <b>2,150.7</b> | <b>1,984.8</b> |
| <b>NOB</b>                                                           | <b>Net operating balance (1-2+NOBz)</b>       | <b>2,676.5</b>   | <b>9,929.7</b>  |               | <b>396.9</b>   | <b>3,386.8</b>  | <b>1,842.0</b> | <b>168.4</b>   | <b>2,150.7</b> | <b>1,984.8</b> |
|                                                                      | % of GDP                                      | 1.8%             | 6.8%            |               | 0.3%           | 2.3%            | 1.3%           | 0.1%           | 1.5%           | 1.4%           |
| <b>TRANSACTIONS IN NONFINANCIAL ASSETS:</b>                          |                                               |                  |                 |               |                |                 |                |                |                |                |
| <b>A31</b>                                                           | <b>Net Acquisition of Nonfinancial Assets</b> | <b>12,151.8</b>  | <b>2,322.9</b>  | <b>19.1%</b>  | <b>444.3</b>   | <b>154.1</b>    | <b>114.6</b>   | <b>828.6</b>   | <b>393.7</b>   | <b>387.6</b>   |
| A311                                                                 | Fixed assets                                  | 11,340.8         | 1,956.0         | 17.2%         | 384.9          | 153.7           | 114.6          | 605.9          | 333.7          | 363.2          |
| A312                                                                 | Change in inventories                         | -                | -               | 0.0%          | -              | -               | -              | -              | -              | -              |
| A313                                                                 | Valuables                                     | -                | -               | 0.0%          | -              | -               | -              | -              | -              | -              |
| A314                                                                 | Nonproduced assets                            | 811.0            | 366.9           | 0.0%          | 59.4           | 0.4             | -              | 222.7          | 60.0           | 24.5           |
| <b>NLB</b>                                                           | <b>Net lending / borrowing (1-2+NOBz-31)</b>  | <b>(9,475.4)</b> | <b>7,606.8</b>  |               | <b>(47.4)</b>  | <b>3,232.7</b>  | <b>1,727.4</b> | <b>(660.1)</b> | <b>1,757.0</b> | <b>1,597.1</b> |
| <b>TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):</b> |                                               |                  |                 |               |                |                 |                |                |                |                |
|                                                                      |                                               | -6.5%            | 5.2%            |               | 0.0%           | 2.2%            | 1.2%           | -0.5%          | 1.2%           | 1.1%           |
| <b>A32</b>                                                           | <b>Net acquisition of financial assets</b>    | <b>(4,150.0)</b> | <b>7,051.8</b>  | <b>0.0%</b>   | <b>(117.4)</b> | <b>3,232.7</b>  | <b>1,126.3</b> | <b>(670.7)</b> | <b>1,662.9</b> | <b>1,817.8</b> |
| A321                                                                 | Domestic                                      | (4,150.0)        | 7,051.8         | 0.0%          | (117.4)        | 3,232.7         | 1,126.3        | (670.7)        | 1,662.9        | 1,817.8        |
| A322                                                                 | Foreign                                       | -                | -               | 0.0%          | -              | -               | -              | -              | -              | -              |
| <b>A33</b>                                                           | <b>Net incurrence of liabilities</b>          | <b>5,325.4</b>   | <b>(555.0)</b>  | <b>-10.4%</b> | <b>(70.0)</b>  | <b>-</b>        | <b>(601.1)</b> | <b>(10.5)</b>  | <b>(94.1)</b>  | <b>220.7</b>   |
| A331                                                                 | Domestic creditors                            | 3,426.4          | 287.9           |               | -              | -               | -              | -              | -              | 287.9          |
| A332                                                                 | External creditors                            | 1,898.9          | (842.9)         | -44.4%        | (70.0)         | -               | (601.1)        | (10.5)         | (94.1)         | (67.2)         |

Source: Department of Finance and Treasury

**Table 9: Statement of Government Operations excluding Donor Financing using GFS14 Classification, 2020 - 2027**

| STATEMENT OF GOVERNMENT OPERATIONS<br>Using GFS14 classification     |                                               |                |                |                           |                        |                        |                         |                  |                  |                  |                  |
|----------------------------------------------------------------------|-----------------------------------------------|----------------|----------------|---------------------------|------------------------|------------------------|-------------------------|------------------|------------------|------------------|------------------|
| GFS Code                                                             | GFS Description                               | Actual<br>2022 | Actual<br>2023 | Actual (Jan -Dec)<br>2024 | Actual Jan - June 2024 | Revised Budget<br>2025 | Actuals Jan - June 2025 | Forecast<br>2026 | Forecast<br>2027 | Forecast<br>2028 | Forecast<br>2029 |
| <b>TRANSACTIONS AFFECTING NET WORTH:</b>                             |                                               |                |                |                           |                        |                        |                         |                  |                  |                  |                  |
| A1                                                                   | Revenue                                       | 29,579.6       | 36,035.3       | 43,266.7                  | 19,038.1               | 45,178.6               | 27,033.3                | 42,641.8         | 46,362.4         | 50,057.4         | 53,980.4         |
| A11                                                                  | Taxes                                         | 19,136.9       | 23,354.5       | 25,795.1                  | 13,714.3               | 26,304.7               | 13,511.2                | 27,337.5         | 28,401.5         | 29,396.1         | 30,486.4         |
| A111                                                                 | Taxes on income, profits, and capital gains   | 0.0            | 0.0            | 0.0                       | 0.0                    | 0.0                    | 0.0                     | 0.0              | 0.0              | 0.0              | 0.0              |
| A112                                                                 | Taxes on payroll and workforce                | 0.0            | 0.0            | 0.0                       | 0.0                    | 0.0                    | 0.0                     | 0.0              | 0.0              | 0.0              | 0.0              |
| A113                                                                 | Taxes on property                             | 450.9          | 489.4          | 723.1                     | 399.7                  | 710.3                  | 405.3                   | 741.3            | 773.1            | 803.2            | 835.6            |
| A114                                                                 | Taxes on goods and services                   | 14,632.1       | 17,963.2       | 20,995.9                  | 11,325.1               | 20,656.5               | 11,114.8                | 21,443.3         | 22,254.5         | 23,031.3         | 23,865.2         |
| A115                                                                 | Taxes on international trade and transactions | 4,053.8        | 4,902.0        | 4,076.1                   | 1,989.5                | 4,937.8                | 1,991.1                 | 5,152.9          | 5,373.9          | 5,561.5          | 5,785.7          |
| A116                                                                 | Other taxes                                   | 0.0            | 0.0            | 0.0                       | 0.0                    | 0.0                    | 0.0                     | 0.0              | 0.0              | 0.0              | 0.0              |
| A12                                                                  | Social contributions                          | 0.0            | 0.0            | 0.0                       | 0.0                    | 0.0                    | 0.0                     | 0.0              | 0.0              | 0.0              | 0.0              |
| A132                                                                 | Grants                                        | 979.2          | 1,837.4        | 3,394.0                   | 98.4                   | 6,124.8                | 3,159.6                 | 0.0              | 0.0              | 0.0              | 0.0              |
| A14                                                                  | Other revenue                                 | 9,463.5        | 10,843.4       | 14,077.6                  | 5,225.4                | 12,749.1               | 10,362.4                | 15,304.3         | 17,960.9         | 20,661.4         | 23,494.0         |
| A2                                                                   | Expense                                       | 31,766.2       | 35,060.2       | 38,792.9                  | 20,145.5               | 42,502.1               | 19,557.1                | 41,187.9         | 42,102.9         | 43,096.9         | 44,077.3         |
| A21                                                                  | Compensation of employees                     | 17,057.5       | 17,069.9       | 18,995.4                  | 8,986.9                | 23,453.1               | 10,146.6                | 24,156.6         | 24,881.3         | 25,627.8         | 26,396.6         |
| A22                                                                  | Use of goods and services                     | 6,849.6        | 9,122.2        | 8,670.1                   | 5,191.2                | 8,854.7                | 3,940.0                 | 9,120.4          | 9,394.0          | 9,675.8          | 9,966.1          |
| A23                                                                  | Consumption of fixed capital                  | 0.0            | 0.0            | 0.0                       | 0.0                    | 0.0                    | 0.0                     | 0.0              | 0.0              | 0.0              | 0.0              |
| A24                                                                  | Interest                                      | 999.3          | 1,114.3        | 1,169.1                   | 428.2                  | 1,515.7                | 606.8                   | 1,401.7          | 1,318.4          | 1,284.1          | 1,205.4          |
| A25                                                                  | Subsidies                                     | 1,106.2        | 83.0           | 146.2                     | 65.7                   | 205.0                  | 202.8                   | 205.0            | 205.0            | 205.0            | 205.0            |
| A26                                                                  | Grants                                        | 3,568.2        | 5,193.0        | 6,994.1                   | 4,253.8                | 6,533.7                | 3,347.8                 | 3,741.1          | 3,741.1          | 3,741.1          | 3,741.1          |
| A27                                                                  | Social benefits                               | 1,250.9        | 1,213.5        | 866.6                     | 426.8                  | 821.4                  | 754.0                   | 645.6            | 645.6            | 645.6            | 645.6            |
| A28                                                                  | Other expense                                 | 934.4          | 1,264.2        | 1,951.5                   | 793.0                  | 1,118.5                | 559.0                   | 1,917.5          | 1,917.5          | 1,917.5          | 1,917.5          |
| GOB                                                                  | Gross operating balance (1-2+23+NOBz)         | (2,186.6)      | 975.2          | 4,473.7                   | (1,107.4)              | 2,676.5                | 7,476.2                 | 1,453.9          | 4,259.5          | 6,960.6          | 9,903.1          |
| NOB                                                                  | Net operating balance (1-2+NOBz)              | (2,186.6)      | 975.2          | 4,473.7                   | (1,107.4)              | 2,676.5                | 7,476.2                 | 1,453.9          | 4,259.5          | 6,960.6          | 9,903.1          |
| <b>TRANSACTIONS IN NONFINANCIAL ASSETS:</b>                          |                                               |                |                |                           |                        |                        |                         |                  |                  |                  |                  |
| A31                                                                  | Net investment in nonfinancial assets         | 2,096.1        | 2,032.3        | 4,669.3                   | 2,748.3                | 7,851.8                | 1,933.9                 | 1,747.8          | 1,669.7          | 1,669.7          | 1,669.7          |
| A311                                                                 | Fixed assets                                  | 1,603.9        | 1,526.6        | 4,143.5                   | 2,579.9                | 7,040.8                | 1,567.4                 | 1,747.8          | 1,669.7          | 1,669.7          | 1,669.7          |
| A312                                                                 | Inventories                                   | 0.0            | 0.0            | 0.0                       | 0.0                    | 0.0                    | 0.0                     | 0.0              | 0.0              | 0.0              | 0.0              |
| A313                                                                 | Valuables                                     | 0.0            | 0.0            | 0.0                       | 0.0                    | 0.0                    | 0.0                     | 0.0              | 0.0              | 0.0              | 0.0              |
| A314                                                                 | Nonproduced assets                            | 492.2          | 505.7          | 525.8                     | 168.4                  | 811.0                  | 366.5                   | 0.0              | 0.0              | 0.0              | 0.0              |
| NLB                                                                  | Net lending / borrowing (1-2+NOBz-31)         | (4,282.7)      | (1,057.2)      | (195.6)                   | (3,855.8)              | (5,175.3)              | 5,542.3                 | (293.8)          | 2,589.9          | 5,290.9          | 8,233.5          |
| <b>TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):</b> |                                               |                |                |                           |                        |                        |                         |                  |                  |                  |                  |
| A32                                                                  | Net acquisition of financial assets           | (4,235.4)      | (1,305.5)      | 2,225.7                   | (689.5)                | (4,150.0)              | 4,987.3                 | (2,455.4)        | 4.6              | 2,667.2          | 5,634.1          |
| A321                                                                 | Domestic                                      | (4,235.4)      | (1,305.5)      | 2,225.7                   | (689.5)                | (4,150.0)              | 4,987.3                 | (2,455.4)        | 4.6              | 2,667.2          | 5,634.1          |
| A3212                                                                | Currency and deposits                         | (4,217.0)      | (1,194.4)      | 2,225.7                   | -689.5                 | (4,150.0)              | 4,987.3                 | (2,455.4)        | 4.6              | 2,667.2          | 5,634.1          |
| A3214                                                                | Loans                                         | -18.4          | -111.2         | 0.0                       | 0.0                    | 0.0                    | 0.0                     | 0.0              | 0.0              | 0.0              | 0.0              |
| A322                                                                 | External                                      |                |                | 0.0                       | 0.0                    | 0.0                    | 0.0                     | 0.0              | 0.0              | 0.0              | 0.0              |
| A33                                                                  | Net incurrence of liabilities                 | 47.3           | (248.3)        | 2,421.3                   | 3,166.3                | 1,025.3                | (555.0)                 | (2,161.6)        | (2,585.2)        | (2,623.6)        | (2,599.3)        |
| A331                                                                 | Domestic                                      | 2,344.1        | 2,186.6        | 3,882.7                   | 3,928.6                | 3,426.4                | 287.9                   | 0.0              | 0.0              | 0.0              | 0.0              |
| A332                                                                 | External                                      | (2,296.8)      | (2,434.9)      | (1,461.4)                 | (762.3)                | (2,401.1)              | (842.9)                 | (2,161.6)        | (2,585.2)        | (2,623.6)        | (2,599.3)        |

Source: Department of Finance and Treasury

**Table 10: Statement of Government Operations funded by donors through the central treasury account, in GFS14 Classification, 2020 – 2027**

| STATEMENT OF DONOR OPERATIONS<br>Using GFS14 classification          |                                                      |                  |                 |                            |                        |                        |                         |                  |                  |                  |                  |
|----------------------------------------------------------------------|------------------------------------------------------|------------------|-----------------|----------------------------|------------------------|------------------------|-------------------------|------------------|------------------|------------------|------------------|
| GFS Code                                                             | GFS Description                                      | Actual<br>2022   | Actual 2023     | Actual (Jan - Dec)<br>2024 | Actual Jan - June 2024 | Revised Budget<br>2025 | Actuals Jan - June 2025 | Forecast<br>2026 | Forecast<br>2027 | Forecast<br>2028 | Forecast<br>2029 |
| <b>TRANSACTIONS AFFECTING NET WORTH:</b>                             |                                                      |                  |                 |                            |                        |                        |                         |                  |                  |                  |                  |
| <b>A1</b>                                                            | <b>Revenue</b>                                       | <b>7,940.7</b>   | <b>10,010.7</b> | <b>8,942.6</b>             | <b>4,314.7</b>         | <b>16,845.4</b>        | <b>3,628.5</b>          | <b>14,092.2</b>  | <b>15,468.8</b>  | <b>14,780.5</b>  | <b>15,124.6</b>  |
| <i>A11</i>                                                           | <i>Taxes</i>                                         | <i>0.0</i>       | <i>0.0</i>      | <i>0.0</i>                 | <i>0.0</i>             | <i>0.0</i>             | <i>0.0</i>              | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       |
| <i>A111</i>                                                          | <i>Taxes on income, profits, and capital gains</i>   | <i>0.0</i>       | <i>0.0</i>      | <i>0.0</i>                 | <i>0.0</i>             | <i>0.0</i>             | <i>0.0</i>              | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       |
| <i>A112</i>                                                          | <i>Taxes on payroll and workforce</i>                | <i>0.0</i>       | <i>0.0</i>      | <i>0.0</i>                 | <i>0.0</i>             | <i>0.0</i>             | <i>0.0</i>              | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       |
| <i>A113</i>                                                          | <i>Taxes on property</i>                             | <i>0.0</i>       | <i>0.0</i>      | <i>0.0</i>                 | <i>0.0</i>             | <i>0.0</i>             | <i>0.0</i>              | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       |
| <i>A114</i>                                                          | <i>Taxes on goods and services</i>                   | <i>0.0</i>       | <i>0.0</i>      | <i>0.0</i>                 | <i>0.0</i>             | <i>0.0</i>             | <i>0.0</i>              | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       |
| <i>A115</i>                                                          | <i>Taxes on international trade and transactions</i> | <i>0.0</i>       | <i>0.0</i>      | <i>0.0</i>                 | <i>0.0</i>             | <i>0.0</i>             | <i>0.0</i>              | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       |
| <i>A116</i>                                                          | <i>Other taxes</i>                                   | <i>0.0</i>       | <i>0.0</i>      | <i>0.0</i>                 | <i>0.0</i>             | <i>0.0</i>             | <i>0.0</i>              | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       |
| <i>A12</i>                                                           | <i>Social contributions</i>                          | <i>0.0</i>       | <i>0.0</i>      | <i>0.0</i>                 | <i>0.0</i>             | <i>0.0</i>             | <i>0.0</i>              | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       |
| <i>A13</i>                                                           | <i>Grants</i>                                        | <i>7,940.7</i>   | <i>10,010.7</i> | <i>8,942.6</i>             | <i>4,314.7</i>         | <i>16,845.4</i>        | <i>3,628.5</i>          | <i>14,092.2</i>  | <i>15,468.8</i>  | <i>14,780.5</i>  | <i>15,124.6</i>  |
| <i>A14</i>                                                           | <i>Other revenue</i>                                 | <i>0.0</i>       | <i>0.0</i>      | <i>0.0</i>                 | <i>0.0</i>             | <i>0.0</i>             | <i>0.0</i>              | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       |
| <b>A2</b>                                                            | <b>Expense</b>                                       | <b>5,669.3</b>   | <b>2,603.5</b>  | <b>4,301.8</b>             | <b>1,400.9</b>         | <b>16,845.4</b>        | <b>1,175.1</b>          | <b>14,092.2</b>  | <b>15,468.8</b>  | <b>14,780.5</b>  | <b>15,124.6</b>  |
| <i>A21</i>                                                           | <i>Compensation of employees</i>                     | <i>487.3</i>     | <i>276.4</i>    | <i>235.5</i>               | <i>107.8</i>           | <i>1,023.7</i>         | <i>175.5</i>            | <i>856.4</i>     | <i>940.0</i>     | <i>898.2</i>     | <i>919.1</i>     |
| <i>A22</i>                                                           | <i>Use of goods and services</i>                     | <i>4,118.9</i>   | <i>2,096.3</i>  | <i>2,638.5</i>             | <i>1,133.4</i>         | <i>12,341.6</i>        | <i>897.9</i>            | <i>10,324.5</i>  | <i>11,333.1</i>  | <i>10,828.8</i>  | <i>11,080.9</i>  |
| <i>A23</i>                                                           | <i>Consumption of fixed capital</i>                  | <i>0.0</i>       | <i>0.0</i>      | <i>0.0</i>                 | <i>0.0</i>             | <i>0.0</i>             | <i>0.0</i>              | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       |
| <i>A24</i>                                                           | <i>Interest</i>                                      | <i>2.4</i>       | <i>2.2</i>      | <i>0.0</i>                 | <i>0.0</i>             | <i>0.0</i>             | <i>0.0</i>              | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       |
| <i>A25</i>                                                           | <i>Subsidies</i>                                     | <i>12.9</i>      | <i>4.8</i>      | <i>0.7</i>                 | <i>0.5</i>             | <i>32.1</i>            | <i>0.0</i>              | <i>26.8</i>      | <i>29.4</i>      | <i>28.1</i>      | <i>28.8</i>      |
| <i>A26</i>                                                           | <i>Grants</i>                                        | <i>973.5</i>     | <i>191.6</i>    | <i>1,353.5</i>             | <i>137.1</i>           | <i>2,498.2</i>         | <i>78.1</i>             | <i>2,089.9</i>   | <i>2,294.0</i>   | <i>2,191.9</i>   | <i>2,243.0</i>   |
| <i>A27</i>                                                           | <i>Social benefits</i>                               | <i>-22.8</i>     | <i>22.3</i>     | <i>28.0</i>                | <i>18.7</i>            | <i>925.3</i>           | <i>7.1</i>              | <i>774.0</i>     | <i>849.7</i>     | <i>811.8</i>     | <i>830.8</i>     |
| <i>A28</i>                                                           | <i>Other expense</i>                                 | <i>97.0</i>      | <i>9.9</i>      | <i>45.5</i>                | <i>3.5</i>             | <i>24.6</i>            | <i>16.5</i>             | <i>20.6</i>      | <i>22.6</i>      | <i>21.6</i>      | <i>22.1</i>      |
| <b>GOB</b>                                                           | <b>Gross operating balance (1-2+23+NOBz)</b>         | <b>2,271.5</b>   | <b>7,407.2</b>  | <b>4,640.8</b>             | <b>2,913.8</b>         | <b>0.0</b>             | <b>2,453.4</b>          | <b>0.0</b>       | <b>0.0</b>       | <b>0.0</b>       | <b>0.0</b>       |
| <b>NOB</b>                                                           | <b>Net operating balance (1-2+NOBz)</b>              | <b>2,271.5</b>   | <b>7,407.2</b>  | <b>4,640.8</b>             | <b>2,913.8</b>         | <b>0.0</b>             | <b>2,453.4</b>          | <b>0.0</b>       | <b>0.0</b>       | <b>0.0</b>       | <b>0.0</b>       |
| <b>TRANSACTIONS IN NONFINANCIAL ASSETS:</b>                          |                                                      |                  |                 |                            |                        |                        |                         |                  |                  |                  |                  |
| <b>A31</b>                                                           | <b>Net investment in nonfinancial assets</b>         | <b>4,365.2</b>   | <b>5,406.8</b>  | <b>5,645.8</b>             | <b>1,537.7</b>         | <b>4,300.0</b>         | <b>388.6</b>            | <b>5,105.5</b>   | <b>4,556.8</b>   | <b>4,010.1</b>   | <b>3,296.4</b>   |
| <i>A311</i>                                                          | <i>Fixed assets</i>                                  | <i>4,365.2</i>   | <i>5,405.6</i>  | <i>5,645.8</i>             | <i>1,537.7</i>         | <i>4,300.0</i>         | <i>388.6</i>            | <i>5,105.5</i>   | <i>4,556.8</i>   | <i>4,010.1</i>   | <i>3,296.4</i>   |
| <i>A312</i>                                                          | <i>Inventories</i>                                   | <i>0.0</i>       | <i>0.0</i>      | <i>0.0</i>                 | <i>0.0</i>             | <i>0.0</i>             | <i>0.0</i>              | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       |
| <i>A313</i>                                                          | <i>Valuables</i>                                     | <i>0.0</i>       | <i>0.0</i>      | <i>0.0</i>                 | <i>0.0</i>             | <i>0.0</i>             | <i>0.0</i>              | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       |
| <i>A314</i>                                                          | <i>Nonproduced assets</i>                            | <i>0.0</i>       | <i>1.3</i>      | <i>0.0</i>                 | <i>0.0</i>             | <i>0.0</i>             | <i>0.0</i>              | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       |
| <b>NLB</b>                                                           | <b>Net lending / borrowing (1-2+NOBz-31)</b>         | <b>(2,093.8)</b> | <b>2,000.3</b>  | <b>(1,005.0)</b>           | <b>1,376.1</b>         | <b>(4,300.0)</b>       | <b>2,064.8</b>          | <b>(5,105.5)</b> | <b>(4,556.8)</b> | <b>(4,010.1)</b> | <b>(3,296.4)</b> |
| <b>TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):</b> |                                                      |                  |                 |                            |                        |                        |                         |                  |                  |                  |                  |
| <b>A32</b>                                                           | <b>Net acquisition of financial assets</b>           | <b>(2,093.8)</b> | <b>2,000.3</b>  | <b>(1,005.0)</b>           | <b>1,376.1</b>         | <b>0.0</b>             | <b>2,064.8</b>          | <b>0.0</b>       | <b>0.0</b>       | <b>0.0</b>       | <b>0.0</b>       |
| <i>A321</i>                                                          | <i>Domestic</i>                                      | <i>(2,093.8)</i> | <i>2,000.3</i>  | <i>(1,005.0)</i>           | <i>1,376.1</i>         | <i>0.0</i>             | <i>2,064.8</i>          | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       |
| <i>A3212</i>                                                         | <i>Currency and deposits</i>                         | <i>(2,093.8)</i> | <i>2,000.3</i>  | <i>(1,005.0)</i>           | <i>1,376.1</i>         | <i>0.0</i>             | <i>2,064.8</i>          | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       |
| <i>A3214</i>                                                         | <i>Loans</i>                                         | <i>0.0</i>       | <i>0.0</i>      | <i>0.0</i>                 | <i>0.0</i>             | <i>0.0</i>             | <i>0.0</i>              | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       |
| <i>A322</i>                                                          | <i>External</i>                                      | <i>0.0</i>       | <i>0.0</i>      | <i>0.0</i>                 | <i>0.0</i>             | <i>0.0</i>             | <i>0.0</i>              | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       |
| <b>A33</b>                                                           | <b>Net incurrence of liabilities</b>                 | <b>0.0</b>       | <b>0.0</b>      | <b>0.0</b>                 | <b>0.0</b>             | <b>4,300.0</b>         | <b>0.0</b>              | <b>5,105.5</b>   | <b>4,556.8</b>   | <b>4,010.1</b>   | <b>3,296.4</b>   |
| <i>A331</i>                                                          | <i>Domestic</i>                                      | <i>0.0</i>       | <i>0.0</i>      | <i>0.0</i>                 | <i>0.0</i>             | <i>0.0</i>             | <i>0.0</i>              | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       | <i>0.0</i>       |
| <i>A332</i>                                                          | <i>External</i>                                      | <i>0.0</i>       | <i>0.0</i>      | <i>0.0</i>                 | <i>0.0</i>             | <i>4,300.0</i>         | <i>0.0</i>              | <i>5,105.5</i>   | <i>4,556.8</i>   | <i>4,010.1</i>   | <i>3,296.4</i>   |

Source: Department of Finance and Treasury

**Table 11: Statement of Government Operations including donor financing (consolidated) using GFS14 Classification, 2020 – 2027**

| STATEMENT OF CONSOLIDATED OPERATIONS<br>Using GFS14 classification   |                                               |                |                |                           |                        |                        |                         |                  |                  |                  |                  |
|----------------------------------------------------------------------|-----------------------------------------------|----------------|----------------|---------------------------|------------------------|------------------------|-------------------------|------------------|------------------|------------------|------------------|
| GFS Code                                                             | GFS Description                               | Actual<br>2022 | Actual<br>2023 | Actual (Jan -Dec)<br>2024 | Actual Jan - June 2024 | Revised Budget<br>2025 | Actuals Jan - June 2025 | Forecast<br>2026 | Forecast<br>2027 | Forecast<br>2028 | Forecast<br>2029 |
| <b>TRANSACTIONS AFFECTING NET WORTH:</b>                             |                                               |                |                |                           |                        |                        |                         |                  |                  |                  |                  |
| A1                                                                   | Revenue                                       | 37,520.3       | 46,046.0       | 52,209.2                  | 23,352.8               | 62,023.9               | 30,661.8                | 56,734.0         | 61,831.2         | 64,837.9         | 69,105.0         |
| A11                                                                  | Taxes                                         | 19,136.9       | 23,354.5       | 25,795.1                  | 13,714.3               | 26,304.7               | 13,511.2                | 27,337.5         | 28,401.5         | 29,396.1         | 30,486.4         |
| A111                                                                 | Taxes on income, profits, and capital gains   | 0.0            | 0.0            | 0.0                       | 0.0                    | 0.0                    | 0.0                     | 0.0              | 0.0              | 0.0              | 0.0              |
| A112                                                                 | Taxes on payroll and workforce                | 0.0            | 0.0            | 0.0                       | 0.0                    | 0.0                    | 0.0                     | 0.0              | 0.0              | 0.0              | 0.0              |
| A113                                                                 | Taxes on property                             | 450.9          | 489.4          | 723.1                     | 399.7                  | 710.3                  | 405.3                   | 741.3            | 773.1            | 803.2            | 835.6            |
| A114                                                                 | Taxes on goods and services                   | 14,632.1       | 17,963.2       | 20,995.9                  | 11,325.1               | 20,656.5               | 11,114.8                | 21,443.3         | 22,254.5         | 23,031.3         | 23,865.2         |
| A115                                                                 | Taxes on international trade and transaction. | 4,053.8        | 4,902.0        | 4,076.1                   | 1,989.5                | 4,937.8                | 1,991.1                 | 5,152.9          | 5,373.9          | 5,561.5          | 5,785.7          |
| A116                                                                 | Other taxes                                   | 0.0            | 0.0            | 0.0                       | 0.0                    | 0.0                    | 0.0                     | 0.0              | 0.0              | 0.0              | 0.0              |
| A12                                                                  | Social contributions                          | 0.0            | 0.0            | 0.0                       | 0.0                    | 0.0                    | 0.0                     | 0.0              | 0.0              | 0.0              | 0.0              |
| A13                                                                  | Grants                                        | 8,919.9        | 11,848.1       | 12,336.5                  | 4,413.1                | 22,970.1               | 6,788.2                 | 14,092.2         | 15,468.8         | 14,780.5         | 15,124.6         |
| A14                                                                  | Other revenue                                 | 9,463.5        | 10,843.4       | 14,077.6                  | 5,225.4                | 12,749.1               | 10,362.4                | 15,304.3         | 17,960.9         | 20,661.4         | 23,494.0         |
| A2                                                                   | Expense                                       | 37,435.4       | 37,663.7       | 42,860.2                  | 21,419.6               | 59,347.4               | 20,732.2                | 55,280.0         | 57,571.6         | 57,877.3         | 59,201.9         |
| A21                                                                  | Compensation of employees                     | 17,544.8       | 17,346.3       | 19,230.9                  | 9,094.6                | 24,476.7               | 10,322.1                | 25,013.0         | 25,821.4         | 26,526.0         | 27,315.7         |
| A22                                                                  | Use of goods and services                     | 10,968.6       | 11,218.5       | 11,308.6                  | 6,324.6                | 21,196.4               | 4,837.9                 | 19,444.9         | 20,727.1         | 20,504.6         | 21,047.0         |
| A23                                                                  | Consumption of fixed capital                  | 0.0            | 0.0            | 0.0                       | 0.0                    | 0.0                    | 0.0                     | 0.0              | 0.0              | 0.0              | 0.0              |
| A24                                                                  | Interest                                      | 1,001.7        | 1,116.6        | 1,169.1                   | 428.2                  | 1,515.7                | 606.8                   | 1,401.7          | 1,318.4          | 1,284.1          | 1,205.4          |
| A25                                                                  | Subsidies                                     | 1,119.0        | 87.8           | 146.9                     | 66.3                   | 237.1                  | 202.8                   | 231.8            | 234.4            | 233.1            | 233.8            |
| A26                                                                  | Grants                                        | 4,541.8        | 5,384.7        | 8,113.1                   | 4,264.0                | 9,031.9                | 3,426.0                 | 5,830.9          | 6,035.1          | 5,933.0          | 5,984.0          |
| A27                                                                  | Social benefits                               | 1,228.1        | 1,235.8        | 894.6                     | 445.5                  | 1,746.6                | 761.1                   | 1,419.6          | 1,495.2          | 1,457.4          | 1,476.3          |
| A28                                                                  | Other expense                                 | 1,031.4        | 1,274.1        | 1,997.0                   | 796.4                  | 1,143.1                | 575.5                   | 1,938.1          | 1,940.1          | 1,939.1          | 1,939.6          |
| GOB                                                                  | Gross operating balance (1-2+23+NOBz)         | 84.9           | 8,382.3        | 9,349.0                   | 1,933.2                | 2,676.5                | 9,929.7                 | 1,453.9          | 4,259.5          | 6,960.6          | 9,903.1          |
| NOB                                                                  | Net operating balance (1-2+NOBz)              | 84.9           | 8,382.3        | 9,349.0                   | 1,933.2                | 2,676.5                | 9,929.7                 | 1,453.9          | 4,259.5          | 6,960.6          | 9,903.1          |
| <b>TRANSACTIONS IN NONFINANCIAL ASSETS:</b>                          |                                               |                |                |                           |                        |                        |                         |                  |                  |                  |                  |
| A31                                                                  | Net investment in nonfinancial assets         | 6,461.4        | 7,439.2        | 10,314.9                  | 4,286.0                | 12,151.8               | 2,322.9                 | 6,853.3          | 6,226.5          | 5,679.8          | 4,966.1          |
| A311                                                                 | Fixed assets                                  | 5,969.1        | 6,932.2        | 9,789.0                   | 4,117.6                | 11,340.8               | 1,956.0                 | 6,853.3          | 6,226.5          | 5,679.8          | 4,966.1          |
| A312                                                                 | Inventories                                   | 0.0            | 0              | 0.0                       | 0.0                    | 0.0                    | 0.0                     | 0.0              | 0.0              | 0.0              | 0.0              |
| A313                                                                 | Valuables                                     | 0.0            | 0.0            | 0.0                       | 0.0                    | 0.0                    | 0.0                     | 0.0              | 0.0              | 0.0              | 0.0              |
| A314                                                                 | Nonproduced assets                            | 492.2          | 507.0          | 525.9                     | 168.4                  | 811.0                  | 366.9                   | 0.0              | 0.0              | 0.0              | 0.0              |
| NLB                                                                  | Net lending / borrowing (1-2+NOBz-31)         | (6,376.5)      | 943.1          | (966.0)                   | (2,352.8)              | (9,475.4)              | 7,606.8                 | (5,399.3)        | (1,966.9)        | 1,280.8          | 4,937.1          |
| <b>TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):</b> |                                               |                |                |                           |                        |                        |                         |                  |                  |                  |                  |
| A32                                                                  | Net acquisition of financial assets           | (6,329.2)      | 694.8          | 1,455.4                   | 813.5                  | (4,150.0)              | 7,051.8                 | (2,455.4)        | 4.6              | 2,667.2          | 5,634.1          |
| A321                                                                 | Domestic                                      | (6,329.2)      | 694.8          | 1,455.4                   | 813.5                  | (4,150.0)              | 7,051.8                 | (2,455.4)        | 4.6              | 2,667.2          | 5,634.1          |
| A3212                                                                | Currency and deposits                         | (6,310.8)      | 806.0          | 1,455.4                   | 813.5                  | (4,150.0)              | 7,051.8                 | (2,455.4)        | 4.6              | 2,667.2          | 5,634.1          |
| A3214                                                                | Loans                                         | (18.4)         | (111.2)        | 0.0                       | 0.0                    | 0.0                    | 0.0                     | 0.0              | 0.0              | 0.0              | 0.0              |
| A322                                                                 | External                                      | 0.0            | 0.0            | 0.0                       | 0.0                    | 0.0                    | 0.0                     | 0.0              | 0.0              | 0.0              | 0.0              |
| A33                                                                  | Net incurrence of liabilities                 | 47.3           | (248.3)        | 2,421.3                   | 3,166.3                | 5,325.4                | (555.0)                 | 2,943.9          | 1,971.6          | 1,386.5          | 697.1            |
| A331                                                                 | Domestic                                      | 2,344.1        | 2,186.6        | 3,882.7                   | 3,928.6                | 3,426.4                | 287.9                   | 0.0              | 0.0              | 0.0              | 0.0              |
| A332                                                                 | External                                      | (2,296.8)      | (2,434.9)      | (1,461.4)                 | (762.3)                | 1,898.9                | (842.9)                 | 2,943.9          | 1,971.6          | 1,386.5          | 697.1            |

Source: Department of Finance and Treasury